

'Value Analysis' of a stock which you intend to continue to invest. Value Analysis is, of course, a vast subject in itself – much beyond the scope of the book.

- Though Stock Markets is a long term investment tool, many investors successfully implement the Dividend Stripping Strategy. Though the share price dips once the share becomes ex-dividend, however, most of the quality blue chip companies, historically, recover the value of the dividend within a matter of weeks, at which time they can be sold at a potential profit. For an investor, dividend stripping provides dividend income, and a capital loss when the shares fall in value (in normal circumstances) on going ex-dividend. The fall in share prices can be used to book "capital loss" and adjust this capital loss against an equivalent short term capital gain of some other stock in the financial year, thus saving overall tax. Though I have personally not used this strategy very frequently, it seems to be a good option for those who can keep a close watch on the market.

Real estate

This is the big league investment. My personal recommendation for each one of you would be to wait for at least 40–50 months after you start your journey before you enter this league of investors. Remember, we are talking about real estate as an investment and not about the house you live in.

Once you are comfortably placed financially and are closer to your financial freedom goal, this is one of the investment tools which will give you the biggest returns. We have already seen that real estate investments yield the maximum returns because they leverage the bank's investment on the loaned amount along with your own investment.

But since this investment involves a huge amount of money and lacks liquidity, it is recommended to be kept for the last leg of your financial freedom journey or after you have achieved financial freedom.

Follow the recommendations already provided under the section on investment tools to take a call on the real estate you want to invest in. A few more tips from my experience: